5. In December 1932, Manhattan Ry. "Unmodified" shares sold at 18 while the "Modified" shares sold at $6^5/_8$. The stock was originally entitled to dividends of 7%, guaranteed unconditionally by Interborough. The modified shares were subject to an agreement under which payment of dividends was contingent on earnings. However, the Plan of Modification (adopted in 1922) provided that in the event of defaults by the Interborough in the payment of taxes and bond interest under the Manhattan lease the original terms of the guaranty would be restored with respect to the modified shares. The Interborough was in receivership, and default under the Manhattan lease was highly probable (and soon actual). Hence the price relationship between the two classes of Manhattan stock appeared unjustified in the light of the facts.

Under the Plan of Purchase by the city of New York, to be consummated in 1940, the unmodified shares were given $35 and the modified shares $19, respectively, in city bonds. As in the case of the I.R.T. 7s and 5s, it seems that legal rights were sacrificed somewhat to expediency.

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In our 1934 edition we suggested that *sixteen times* average earnings should represent the maximum *investment* valuation of a common stock. The multiplier of 20, now suggested, reflects of course the much lower interest rates on long-term borrowings. It may be objected that a drop in coupon rates from $4^1/_2$% to $2^3/_4$% would justify a proportionate increase in the common-stock multiplier from sixteen to about twenty-five times.

We should like, however, to call attention to two particular dangers in raising price-earnings ratios *pari passu* with a decline in interest rates. The first is that as the multiplier increases the greater becomes the number of years in the future to which the investor must look before his purchase is completely vindicated. A buyer at ten-times earnings might reasonably envisage *getting his money back out of profits* within not too long a period, after which he might consider himself "operating on velvet." This is a familiar approach to an ordinary business venture, and it has a useful place in stock investment. But as the multiplier advances, or the ratio of profits to price declines, this period lengthens out to a span beyond both the investor's patience to wait and his ability to foretell the future. Thus he becomes basically dependent on the stock market to "keep him whole" or else on increases in earnings to accelerate the paying-out process.

The second objection is based on the possible relationship between interest rates and future earnings on invested capital. There is more than a fair chance that if interest rates are to be permanently much lower than heretofore, the rate of